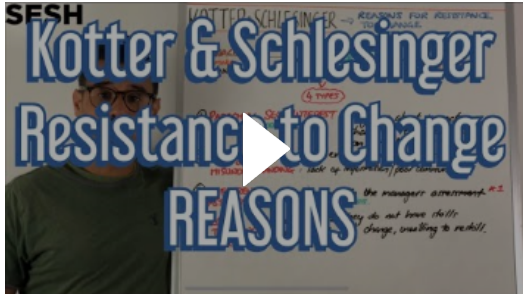


1 - Difficulties in changing an established culture

Flipped learning - Please watch this short video and read the notes relating to Kotter and Schlesinger before the start of the lesson

Organisations often need to adapt their culture for reasons such as:

- Merger or takeover
- Growth and changes in the market
- Currently have a very weak culture



Do Now

The executive team at WSO have decided that they are seeking to make some radical change to the school culture

What problems are they likely to face when attempting to change the school culture?



Learning Outcome

By the end of the lesson I will be able to explain the difficulties businesses face when trying to change an established corporate culture.

To Know



- I know what is meant by organisational or corporate culture.
- I know the reasons why a business might want or need to change its culture (e.g. mergers, poor performance, leadership changes).
- I know why changing an established culture is difficult (e.g. employee resistance, entrenched behaviours, leadership challenges).
- I know the impact of cultural change on staff morale, communication, and performance.
- I know strategies to overcome cultural resistance and support successful change.



I Do, We Do, You Do

Resistance to change

What are the potential reasons for resistance to culture change?

What strategies can be used to change an established culture?



How can senior management overcome the inevitable resistance to cultural change when change is required?

This study note outlines the six approaches suggested by **Kotter & Schlesinger** (also apply to any strategic changes).

(i) Education & Communication

The starting point for successful cultural change is to **communicate effectively the reasons why change is needed**.

Effective education helps **address misconceptions about the cultural change**.

(ii) Participation & Involvement

Involvement in the process can be an effective way of **bringing “on-board”** people who would otherwise resist.

Participation often **leads to commitment, not just compliance**.

(iii) Facilitation & Support

Kotter & Schlesinger identified what they called **“adjustment problems”**.

Key elements of facilitation and support might include **additional training, counselling and mentoring** as well as **simply listening to the concerns of people affected**.

If **fear and anxiety is at the heart of resistance to cultural change**, then facilitation and support become particularly important.

(iv) Co-option & Manipulation

Co-option involves specific individuals being given specific roles that are important in changing the corporate culture. It might be sensible to use managers who are likely to be otherwise resistant to cultural change)

Manipulation involves the selective use of information to encourage people to behave in a particular way.

Whilst the use of manipulation might be seen as unethical, it might be the only option if other methods of overcoming resistance to cultural change prove ineffective.

(v) Negotiation & Bargaining

The idea here is to give people who resist an **incentive to change – or leave**.

The negotiation and bargaining might involve offering **better financial rewards for those who accept the requirements of cultural change**.

Alternatively, **enhanced rewards for leaving** might also be offered. (e.g. high voluntary redundancy payments)

(vi) Explicit & Implicit Coercion

This approach is very much the **“last resort”** if other methods of overcoming resistance to cultural change fail.

Explicit coercion involves people been told exactly what the implications of resisting cultural change will be. e.g. loss of jobs.

Implicit coercion involves suggesting the likely negative consequences for the business of failing to change its culture, without making explicit threats

The big issue with using coercion is that it almost inevitably damages trust between people in a business and can lead to damaged morale (in the short-term)



Culture and resistance to change - exam questions

01/20



Burberry is a 162-year-old British luxury fashion house with its headquarters in London and has a market capitalisation of £8.3bn. It sells trench coats, outerwear, fashion accessories, fragrances, sunglasses and cosmetics.

Growth slowed after Christopher Bailey became its Chief Executive Officer (CEO) in 2014. Profits dropped and the shareholders lost confidence in him. In July 2017 Marco Gobbetti replaced Bailey as CEO. Christopher Bailey then became the Chief Creative Officer until his resignation in November 2017. This was followed in March 2018 by the appointment of a new Chief Creative Officer, Riccardo Tisci.

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As expected, Tisci has shaken things up at one of Britain's best-loved brands. He has already changed the brand's iconic logo. The red, black and beige pattern that has been the brand's most recognisable trademark for over 20 years has now been altered into a more contemporary stripe. The rebranding indicated a major change for the British luxury brand.

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- (b) Explain **one** likely difficulty for Burberry when changing its established culture and brand identity.

(4)

Pure Gym founder on why he started Pure Gym

Pure Gym, which Peter Roberts started in 2009 with four sites in the UK, now has 90 gyms from Aberdeen to Southampton. Roberts, who trained as a chartered surveyor and then became a leisure entrepreneur investing in nightclubs and hotels, got the idea for Pure Gym after spotting the low-cost gym trend in America, Germany and Scandinavia.

At the time, the UK was dominated by the relatively expensive gym chains. Pure Gym opened 30 new gyms in 2014 and a further 40 the following year. It has a target of having 250 to 300 gyms in the UK by 2024. Pure Gym is now Britain's largest gym chain by membership, with 450,000 members paying between £9.99 and £25 a month.

Each site contains just a gym, with no swimming pools, saunas or racquet courts. Pure Gym has a centralised organisational structure with each site typically employing just two staff, supported by up to 12 self-employed trainers. Members join online, paying monthly with no annual contracts and use PIN codes to access the gyms 24 hours a day.

Pure Gym buys rival LA Fitness

In 2016 Pure Gym's newly appointed chief executive, Humphrey Cobbold, won the auction to buy mid-market operator LA Fitness, a business established for over 25 years. Pure Gym paid between £60m and £80m and acquired 43 clubs. Most of the gyms will be rebranded and require a change in working practices. Currently, each gym has teams of qualified staff working in different sections. A decentralised approach has been implemented to allow each gym manager to meet the specific needs of the local target market.

Assess whether Pure Gym is likely to overcome the possible difficulties of changing LA Fitness's culture, as a result of the takeover. (12)

Affirmative Checking

Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One ... is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Conclusion:	Overall, (Directly answer the question asked)

This is because...

(at least TWO of the following)

However, success will depend on...

In the short term/In the long term...

It is recommended that ...